IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 17TH DAY OF AUGUST, 2023
BEFORE
THE HON'BLE MR. JUSTICE T.G. RANGANATHA

ARBITRATION PETITION NO. 118 OF 2022

BETWEEN:

M/S RAJATHADRI INFRA CONSTRUCTIONS,
A COMPANY INCORPORATED UNDER THE
COMPANIES ACT, 1956,
REPRESENTED BY ITS DIRECTOR
SRI GIRISH KUMAR M.N.,
TUMAKURU - 572 101. **...PETITIONER**

(BY SRI SAMEER A. BHAGWAT, ADVOCATE)

AND:

M/S KARNAVATI HYDRO POWER LTD.,
A COMPANY INCORPORATED UNDER THE
COMPANIES ACT, 1956,
REPRESENTED BY ITS MANAGING DIRECTOR,
BENGALURU - 560 001. **...RESPONDENT**

(BY SRI NARENDRA L. GOWDA, SENIOR ADVOCATE
FOR SRI PRAKASH C. RAO, ADVOCATE)

THIS ARBITRATION PETITION IS FILED UNDER SECTION 11(6) OF THE ARBITRATION AND CONCILIATION ACT, 1996, PRAYING TO APPOINT AN ARBITRATOR TO ADJUDICATE THE DISPUTES ARISING OUT OF THE WORKS CONTRACT DATED 16.06.2015.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 03.08.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. This petition is filed under Section 11(6) of the Arbitration and Conciliation Act, 1996 (“the Act”) seeking appointment of an arbitrator to adjudicate the disputes between the parties arising out of the Works Contract dated 16.06.2015 for construction of a canal lining and allied works.

2. The petitioner issued a notice dated 18.04.2016, received by the respondent on 20.04.2016, invoking Clause 31 of the Works Contract and calling upon the respondent to concur in the appointment of a named retired Engineer-in-Chief as sole arbitrator. The

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respondent did not respond within thirty days. The parties exchanged some letters in 2016 and 2017 regarding measurement of work and release of retention money. The present petition was filed on 09.02.2022.

3. Sri Gowda, learned Senior Counsel for the respondent, raises a preliminary objection that the petition is barred by limitation. He submits that the right to apply accrued on 20.05.2016, that three years expired on 19.05.2019, and that continued correspondence cannot revive the period. He relies on the decision of the High Court of Delhi dated 08.12.2022 in M/s Triveni Power Equipments Pvt. Ltd. v. M/s Kalindi Hydro Projects Ltd. (ARB.P. 1177/2022).

4. Sri Bhagwat, learned counsel for the petitioner, submits that limitation commences only upon an unequivocal refusal by the respondent, which never took place, and relies on the decision of the High Court of Bombay dated 11.05.2023 in Orient Transline Logistics Pvt. Ltd. v. Gokarna Marine Engineering Ltd. (Commercial Arbitration Application No. 214 of 2022).

5. The point that falls for consideration is when limitation for filing a petition under Section 11(6) of the Act begins to run.

6. Section 11(4) of the Act fixes a period of thirty days from the receipt of the request for the other party to act. When that period expires without appointment, the right to approach the Court arises by operation of law. The commencement of limitation cannot be made to turn on the subjective state of mind of the respondent or on an examination of whether its silence amounts to refusal.

7. This Court holds that limitation for a petition under Section 11(6) of the Arbitration and Conciliation Act, 1996 starts to run automatically on the expiry of thirty days from the date of receipt of the notice invoking arbitration, irrespective of any subsequent correspondence between the parties.

8. With respect, the contrary approach of the Bombay High Court in Orient Transline Logistics (supra) cannot be accepted, since it would leave limitation open-ended in every case in which a respondent chooses to respond with letters instead of a refusal.

9. The right to apply accrued on 20.05.2016 and the limitation expired on 19.05.2019. The petition filed on 09.02.2022 is hopelessly barred, and the pre-arbitration correspondence between the parties does not amount to an acknowledgment so as to extend

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the time. In the result, I pass the following:

ORDER

The arbitration petition is dismissed as barred by limitation.

Sd/-
JUDGE

TGR

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